

REAL ESTATE SENTIMENT INDEX

4th Quarter 2024

About Real Estate Sentiment Index (RESI)

With effect from 1Q 2020, National University of Singapore (NUS) Real Estate (NUS+RE), which collectively represents Department of Real Estate (DRE) and Institute of Real Estate and Urban Studies (IREUS) at NUS, will independently publish the Real Estate Sentiment Index (RESI) to provide an alternative measure of the private real estate market performance. The data collection, analysis and reporting will be independently conducted by NUS+RE. *[Note: The index jointly developed by NUS Real Estate and the Real Estate Developers' Association of Singapore (REDAS) was first introduced in 2010.]*

The quarterly structured questionnaire survey is based on the sentiments of senior executives of real estate firms. RESI measures the perceptions and expectations of real estate development and market conditions in Singapore. RESI comprises a Current Sentiment Index and a Future Sentiment Index, tracking changes in sentiments over the past and the next 6 months respectively, and a Composite Sentiment Index which is the derived indicator for the current overall market sentiment. RESI scores range from 0 to 10, reflecting the extent of pessimism or optimism of the survey respondents. A “net balance percentage” approach is adopted to derive the scores for key determinants of the real estate market sentiment.



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4th Quarter

2024

“The strong take-ups in the new launches in November last year boosted the sentiment.

Residential markets outside the central areas were the brightest sector, with 67% and 52% of the respondents indicating positive current and future performance for the sector.”

Professor Sing Tien Foo

How would you compare the conditions of the overall Singapore real estate market (commercial, residential, hospitality etc.) over the time periods indicated?

Current Sentiment Index#:

The Current Sentiment Index increased from 5.9 in 3Q 2024 to 6.2 in 4Q 2024.

Future Sentiment Index#:

The Future Sentiment Index increased slightly from 5.8 in 3Q 2024 to 5.9 in 4Q 2024.

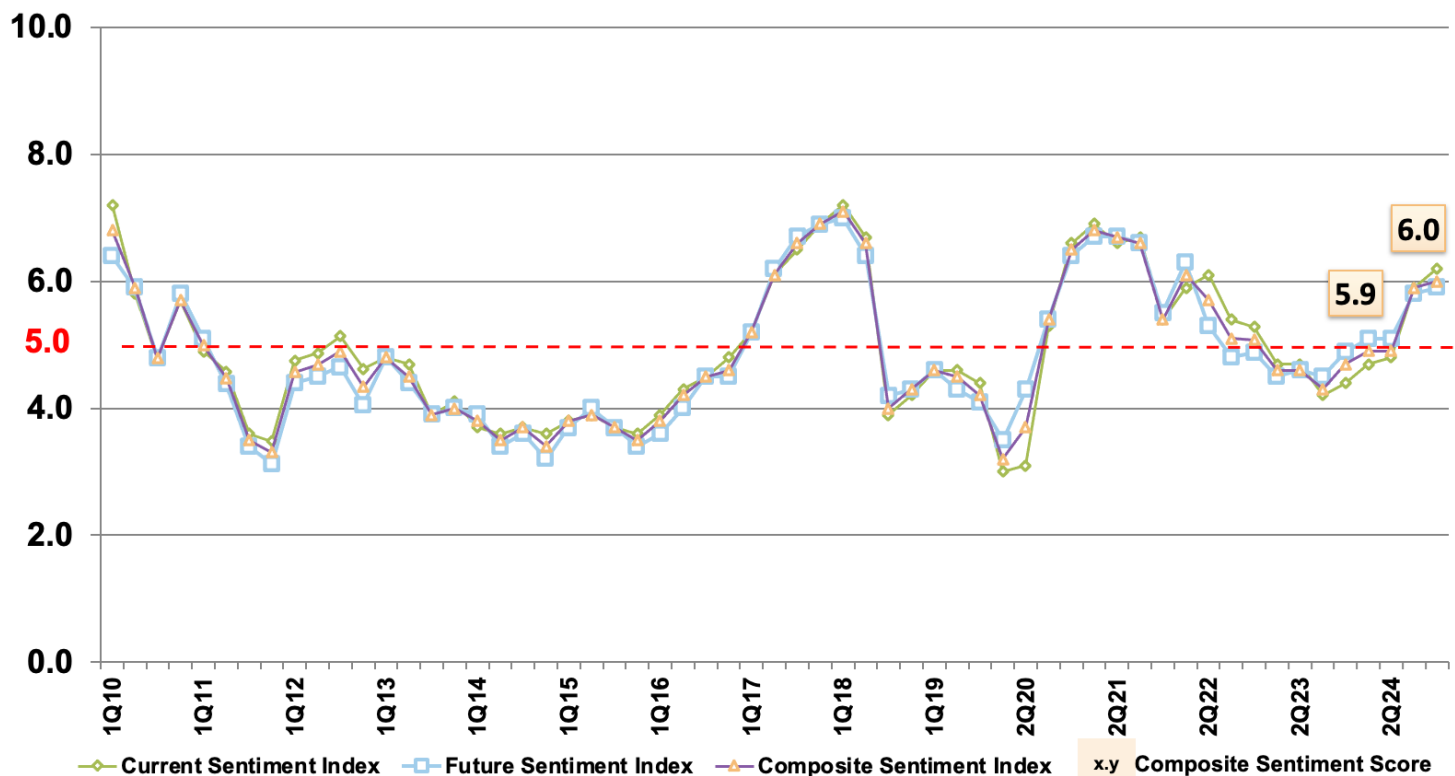
Composite Sentiment Index#:

The Composite Sentiment Index score increased slightly from 5.9 in 3Q 2024 to 6.0 in 4Q 2024.

Market sentiments continued to improve albeit at a moderated pace as investment confidence grows amidst lower interest rates and inflation.

Exhibit 1: Real Estate Sentiment Index (1Q 2010 – 4Q 2024)

**Composite Sentiment Index
(1Q 2010 - 4Q 2024)**



Source: NUS Real Estate

How would you rate the general performance (rental, price, occupancy, purchases etc.) of the sectors over the time periods shown?

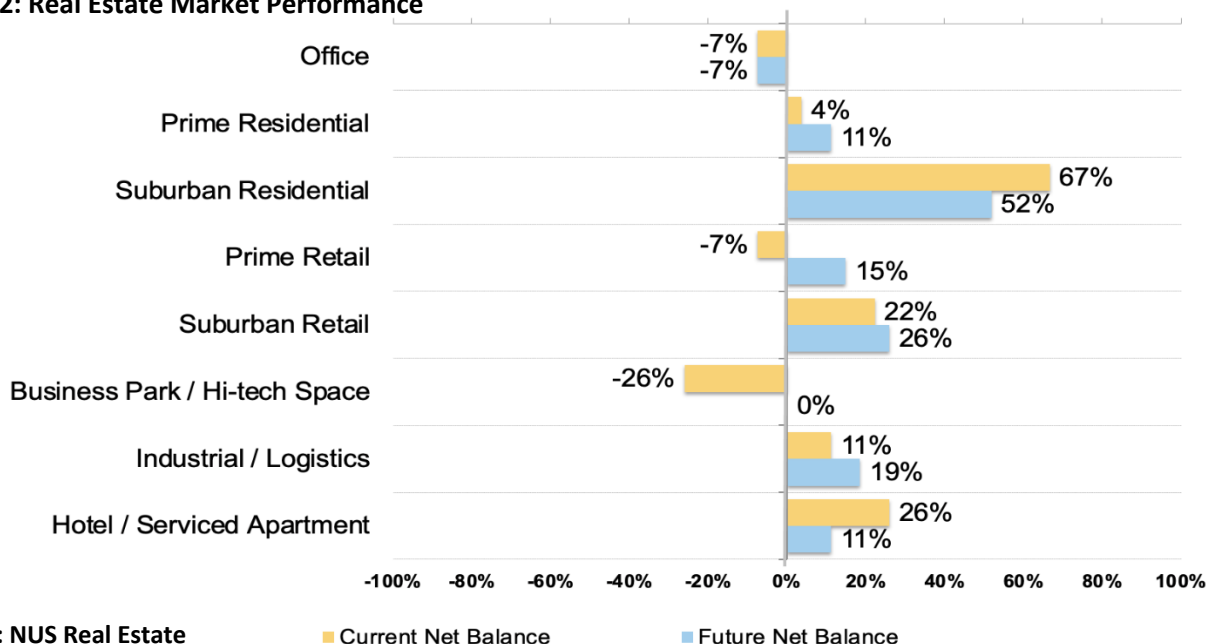
Current net balance

Other than Office, Prime Retail and Business Park/Hi-tech Spaces, the other sectors had positive current net balances. The Suburban Residential sector maintained its position at the top of the chart at +67%, almost doubling from +35% last quarter. Hotel/Service Apartment came in second with a +26%, falling from +35% in 3Q 2024. Suburban Retail followed closely at +22% while Industrial/Logistics had a current net balance of +11%, increasing from +6% in 3Q 2024. Prime Residential increased significantly from -23% to +4% this quarter. Office and Prime Retail both had a current net balance of -7% with the former increasing from -10% and the latter decreasing from +3% in 3Q 2024. Business Park/Hi-tech Spaces continued to rank last at -26%, falling slightly from -23% last quarter.

Future net balance

With the exception of Office and Business Park/Hi-tech Space, all other sectors had positive future net balances. Suburban Residential had the highest future net balance with +52%, up from +29% in the preceding quarter. Suburban Retail ranked second with +26%, increasing from +19% last quarter. Industrial/Logistics followed with +19%, increasing from +10% in 3Q 2024. Prime Retail followed with a future net balance of +15%. Prime Residential and Hotel/Service Apartment both had a future net balance of +11%. Business Park/Hi-tech Space was the only sector with a neutral future net balance of 0%, continuing its uptick from -23% in 2Q 2024. At the bottom of the chart, Office fell from 0% to -7% this quarter.

Exhibit 2: Real Estate Market Performance



“Despite the surge in new sales at the end of 2024, land-banking appetite remains cautious, with only larger, more established developers pursuing opportunities, while smaller developers remain largely on the sidelines. This could be due to the potential overhang of cooling measures coupled with still-high financing costs and construction costs.”

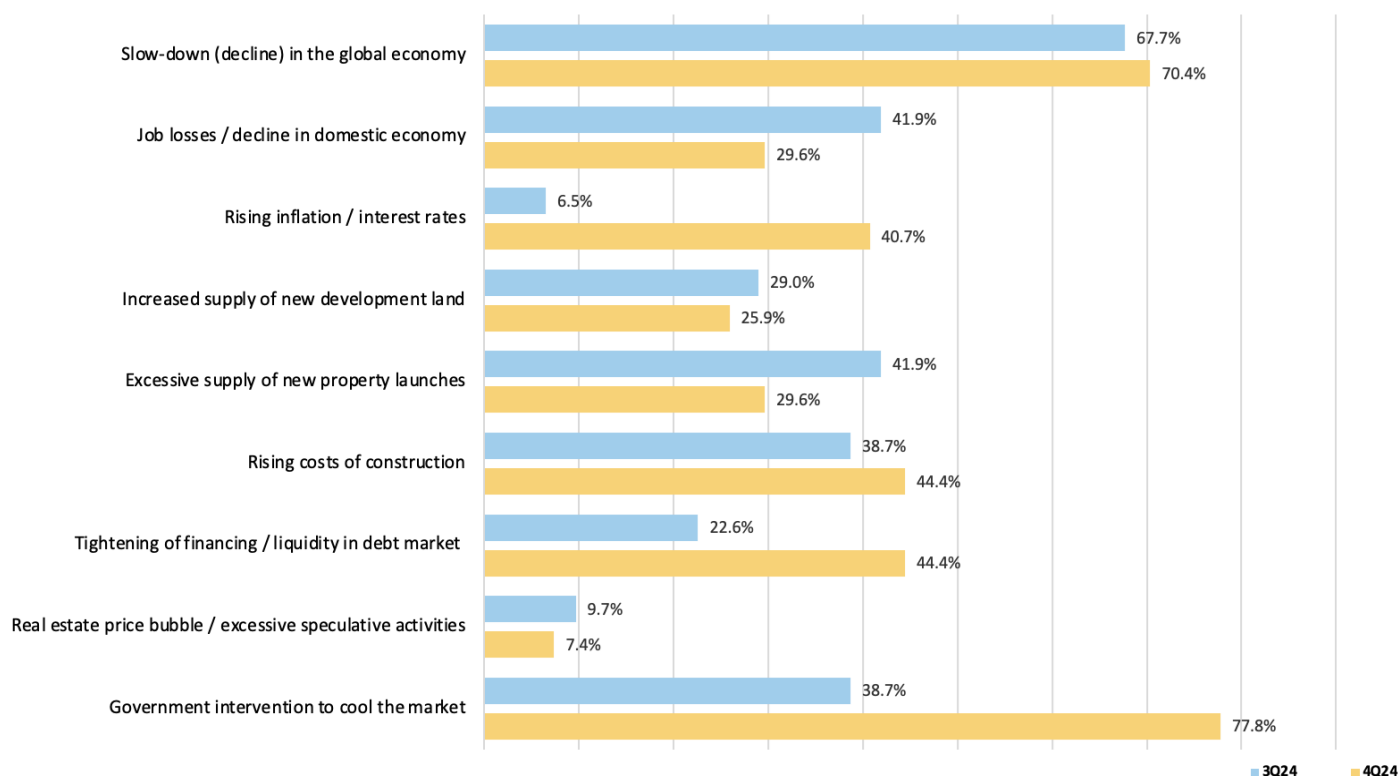
- Comments from Survey Respondent

Do you foresee any potential risks that may adversely impact on market sentiment in the next 6 months?

Government intervention to cool the market was the top potential risk that may adversely impact sentiments over the next six months, with 77.8% of respondents indicating so in the 4Q 2024 survey, increasing considerably from 38.7% in 3Q 2024. Slow-down (decline) in the global economy followed with 70.4% of respondents indicating so, increasing slightly from 67.7% last quarter. Rising construction costs and tightening of financing/liquidity in the debt market both garnered concerns from 44.4% of respondents. 40.7% expressed concerns regarding rising inflation/interest rates, a significant jump from last quarter's 6.5%.

29.6% of respondents indicated concerns over job losses/decline in the domestic economy and excessive supply of new property launches, both similarly decreasing from 41.9% in 3Q 2024. 25.9% raised concerns regarding the increased supply of new development land, decreasing from 38.5% in 2Q 2024 and 29.0% in 3Q 2024. 7.4% of respondents expressed concerns regarding the risk of a real estate price bubble.

Exhibit 3: Potential Risks



Source: NUS Real Estate

What are your expectations regarding the number of new residential units to be launched in the next six months?

33.3% of developers expected a substantially higher number of units to be launched in the next six months, an increase of 20.8 percentage points from 2Q 2024. 46.7% expected a moderately higher number of units to be launched. 13.3% expected the number of unit launches to remain relatively constant, a considerable decrease from last quarter's 35.3%. 6.7% expected a moderately lower number of units to be launched.

What are your expectations on the pricing of new residential launches in the next six months?

66.7% of the developers expected unit prices of new launches in the next six months to be moderately higher, increasing from 35.3% in 3Q 2023. On the other hand, 26.6% expected new launch prices to maintain at the same price level, decreasing from 52.9% last quarter. 6.7% expected unit prices to decrease substantially.

What is your level of concern on development cost over the next six months?

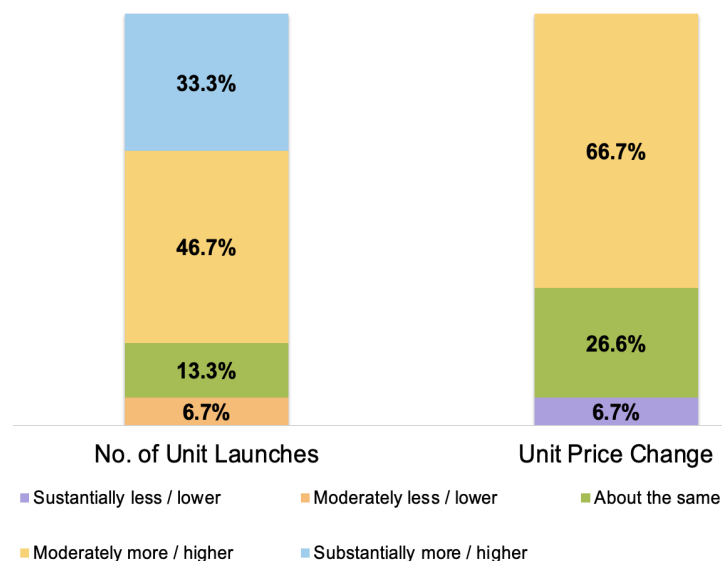
Labour and land costs were the top concerns, with 86.7% of developers expressing concern. 73.3% were concerned about building material costs, while 66.7% of developers were concerned about financing costs. Costs of professional services were ranked as the least worrying cost, with 40.0% expressing no concern.

"Developers are expected to leverage prevailing pent-up demand, improved sentiment and current sales momentum before potential government policy interventions."

- Comments from Survey Respondent

Exhibit 4: Residential Launches & Prices

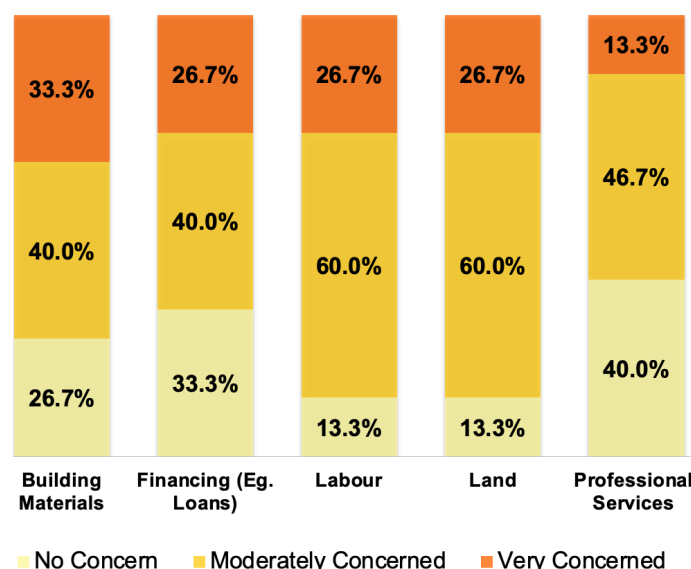
Unit Launches & Price Change (Developers)



Source: NUS Real Estate

Exhibit 5: Level of concern relating to development costs

Development Cost (Developers)



Source: NUS Real Estate

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Explanatory Note

The RESI is an objective and comprehensive measurement specifically gauging the confidence of senior executives in the Singapore real estate and development industry. The survey measures respondents' perceptions and expectations of current and future real estate market conditions. Respondents assess relative market conditions between now and in the past six months, as well as their expectations for the next six months. A standard format questionnaire is mailed out electronically to industry experts. Respondents include developers, consultants, financial institutions, professional firms, and service providers. The survey is thus representative of the overall Singapore real estate industry. The survey is conducted quarterly, in March, June, September, and December.

A "net balance percentage" is used to indicate the overall direction of change in sentiment. This is the difference between the proportion of respondents who have selected the positive options ("better" and "increase") and the proportion of respondents who have selected the negative options ("worse" and "decrease"). A "+" sign in the scores denotes a net positive sentiment (optimism), and a "-" sign indicates a net negative sentiment (pessimism). The derived net balance scores are not weighted by the size of the respondents' business.

About NUS Real Estate (NUS+RE)

The NUS Real Estate (NUS+RE) collectively represents Department of Real Estate (DRE) and Institute of Real Estate and Urban Studies (IREUS), at NUS.

Department of Real Estate (DRE) established in 1969 is part of the School of Design and Environment. With the mission to develop leaders and advance knowledge for the global real estate industry, DRE offers broad-based real estate education covering the areas of real estate investment and finance, urban planning and urban economics. DRE has strong links with the local real estate industry and public agencies, and it has been in the business of producing industry leaders for the real estate industry in Singapore and beyond for more than 50 years.

'Institute of Real Estate Studies (IRES)' was established on 1 June 2006 as a university-level research institute with the mission to advance multidisciplinary research in real estate and urban fields. The Institute has been renamed as the **Institute of Real Estate and Urban Studies (IREUS)** with effect from 9 March 2018. The adding of 'Urban' to the institute's name appropriately reflects the realities of the Institute's multidisciplinary nature. It underscores the importance of staying relevant to our changing urban environment. The Institute promotes multidisciplinary collaboration and high-impact research on broad real estate issues in relation to, amongst others, finance, economics, urban development, wealth accumulation, demography, and environmental policies.

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